

Chapter Three

Accounting for Merchandising Operations

LEARNING OBJECTIVES

After studying this chapter, you should be able to:

1. Identify the differences between service and merchandising companies.
2. Explain the recording of purchases under a perpetual inventory system.
3. Explain the recording of sales revenues under a perpetual inventory system.
4. Explain the steps in the accounting cycle for a merchandising company.
5. Prepare an income statement for a merchandiser.

3.1. Merchandising Operations

Merchandising Companies

Buy and Sell Goods



Retailer



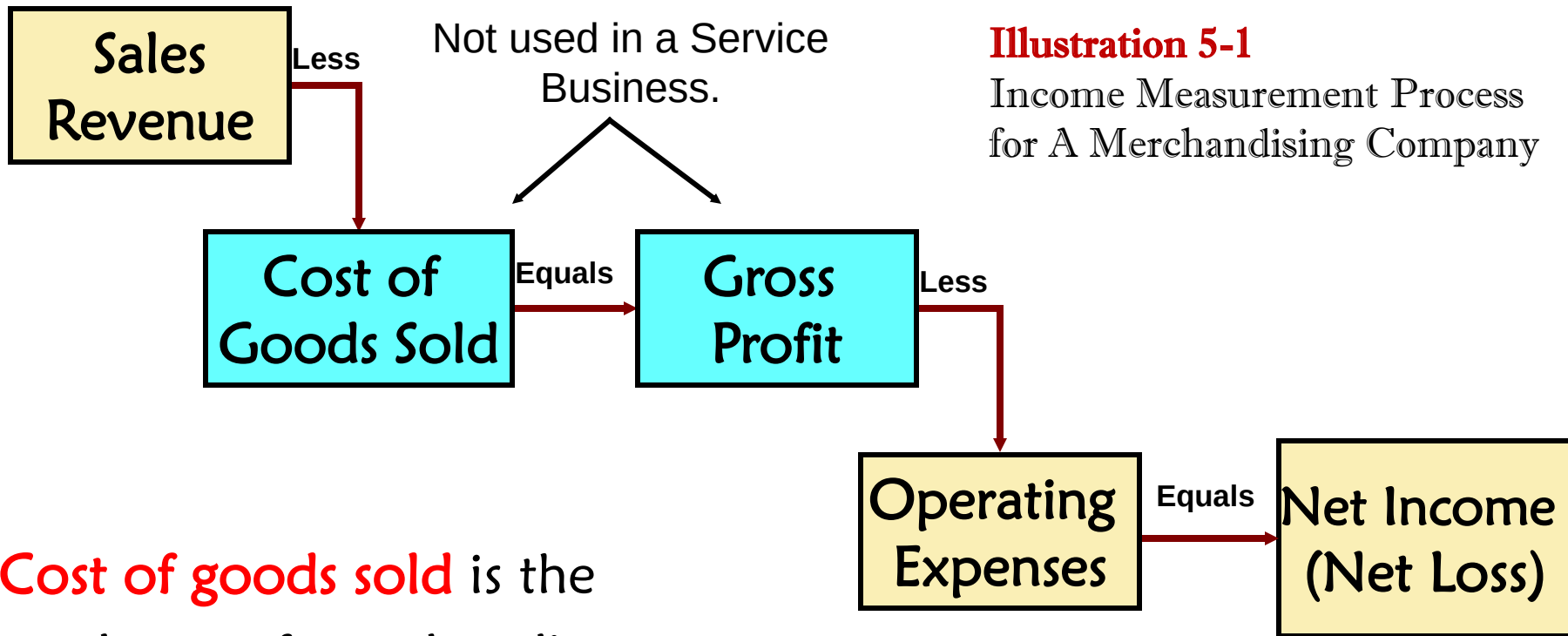
Wholesaler



Consumer

The primary source of revenues is referred to as **sales revenue** or **sales**.

Income Measurement



Cost of goods sold is the total cost of merchandise sold during the period.

Operating Cycles

The operating cycle of a merchandising company ordinarily is **longer than** that of a service company.

Illustration 5-2

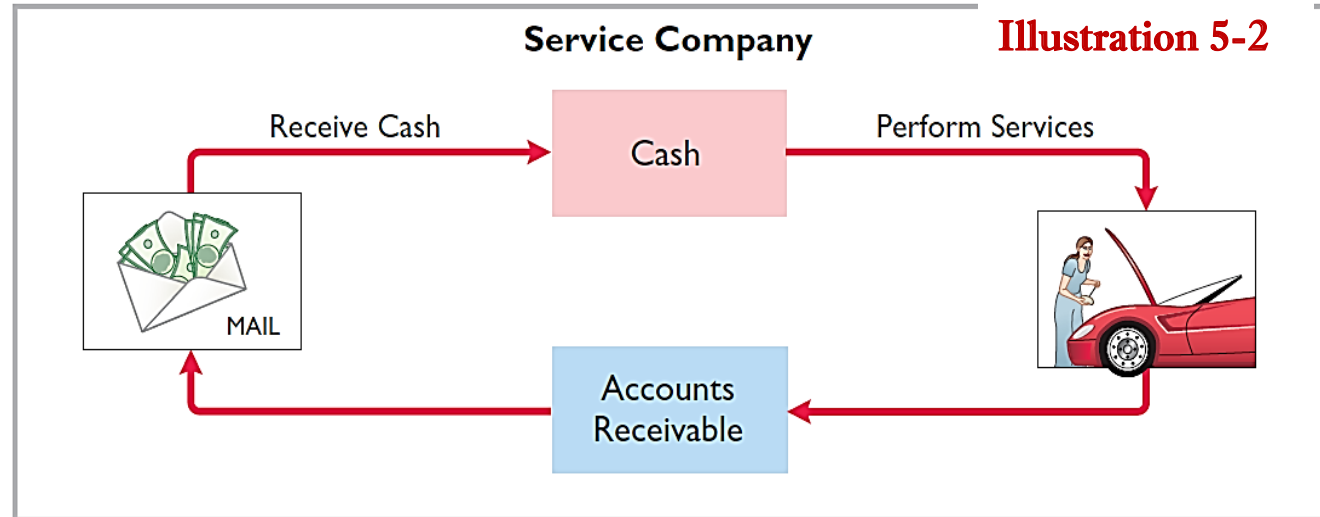
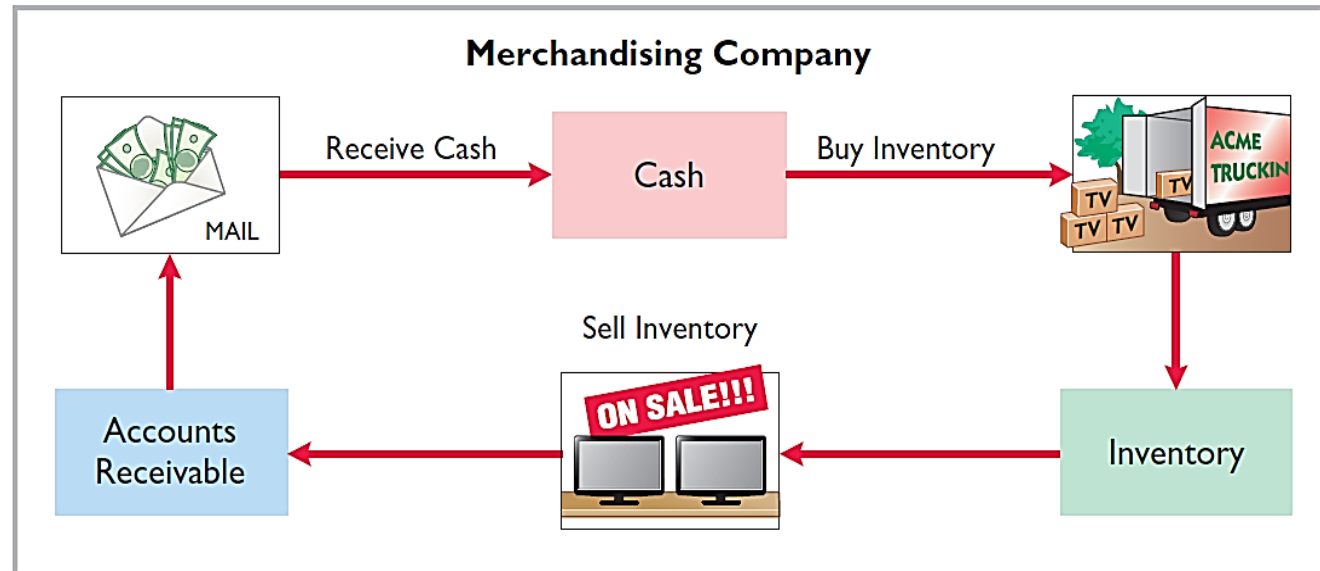
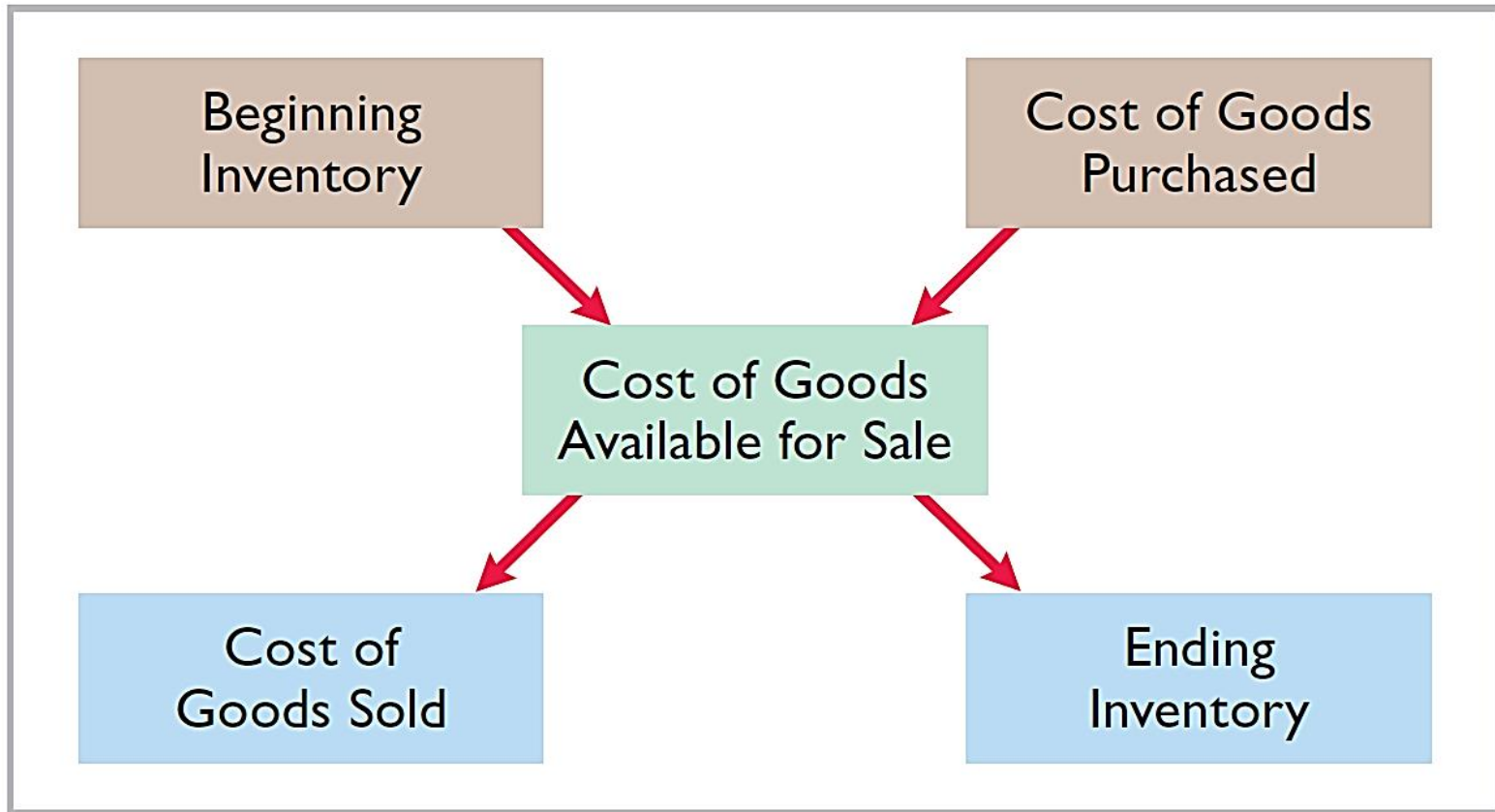


Illustration 5-3



Flow of Costs

Illustration 5-4



Companies use either a **Perpetual Inventory System** or a **Periodic Inventory System** to account for inventory.

PERPETUAL SYSTEM

- ◆ Maintain detailed records of the cost of each inventory purchase and sale.
- ◆ Records continuously show inventory that should be on hand for every item.
- ◆ Company determines cost of goods sold each time a sale occurs.

PERIODIC SYSTEM

- ◆ Do not keep detailed records of the goods on hand.
- ◆ Cost of goods sold determined by count at the end of the accounting period.
- ◆ Calculation of Cost of Goods Sold:

Beginning Inventory	€ 100,000
Add: Purchases, net	<u>800,000</u>
Goods Available for Sale	900,000
Less: Ending Inventory	<u>125,000</u>
Cost of Goods Sold	<u><u>€ 775,000</u></u>

ADVANTAGES OF THE PERPETUAL SYSTEM

- ◆ Traditionally used for merchandise with high unit values.
- ◆ Shows the quantity and cost of the inventory that should be on hand at any time.
- ◆ Provides better control over inventories than a periodic system.



DO IT!

Indicate whether the following statements are **True** or **False**.

1. The primary source of revenue for a merchandising company results from performing services for customers.
2. The operating cycle of a service company is usually shorter than that of a merchandising company.
3. Sales revenue less cost of goods sold equals gross profit.
4. Ending inventory plus the cost of goods purchased equals cost of goods available for sale.

3.2. Recording Purchases of Merchandise

- ◆ Made using **cash** or **credit** (on account).
- ◆ Normally **record** when goods are received from the seller.
- ◆ **Purchase invoice** should support each credit purchase.

Illustration 5-6

Sales Invoice Used As Purchase Invoice By Sauk Stereo

PW AUDIO SUPPLY, SE					
27 CIRCLE DRIVE AMSTERDAM, THE NETHERLANDS 1081					
INVOICE NO. 731					
S O L D T O	Firm Name <u>Sauk Stereo</u>				
	Attention of <u>James Hoover, Purchasing Agent</u>				
	Address <u>125 Main Street</u>				
	Oslo <u>Norway</u> <u>283</u>				
Date <u>5/4/17</u>		Salesperson <u>Malone</u>	Terms <u>2/10, n/30</u>	FOB Shipping Point	
Catalog No.	Description	Quantity	Price	Amount	
X572Y9820	Printed Circuit Board-prototype	1	2,300	€2,300	
A2547Z45	Production Model Circuits	5	300	1,500	
IMPORTANT: ALL RETURNS MUST BE MADE WITHIN 10 DAYS				TOTAL €3,800	

Cont'd

Illustration 5-6

Illustration: Sauk Stereo (the buyer) uses as a purchase invoice the sales invoice prepared by PW Audio Supply, Inc. (the seller).

Prepare the journal entry for Sauk Stereo for the invoice from PW Audio Supply.

PW AUDIO SUPPLY, SE 27 CIRCLE DRIVE AMSTERDAM, THE NETHERLANDS 1081						
INVOICE NO. 731						
S O L D T O	Firm Name <u>Sauk Stereo</u>					
	Attention of <u>James Hoover, Purchasing Agent</u>					
	Address <u>125 Main Street</u>					
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Date <u>5/4/17</u>		Salesperson <u>Malone</u>	Terms <u>2/10, n/30</u>	FOB Shipping Point		
Catalog No.		Description		Quantity	Price	Amount
X572Y9820		Printed Circuit Board-prototype		1	2,300	€2,300
A2547Z45		Production Model Circuits		5	300	1,500
IMPORTANT: ALL RETURNS MUST BE MADE WITHIN 10 DAYS					TOTAL €3,800	

May 4

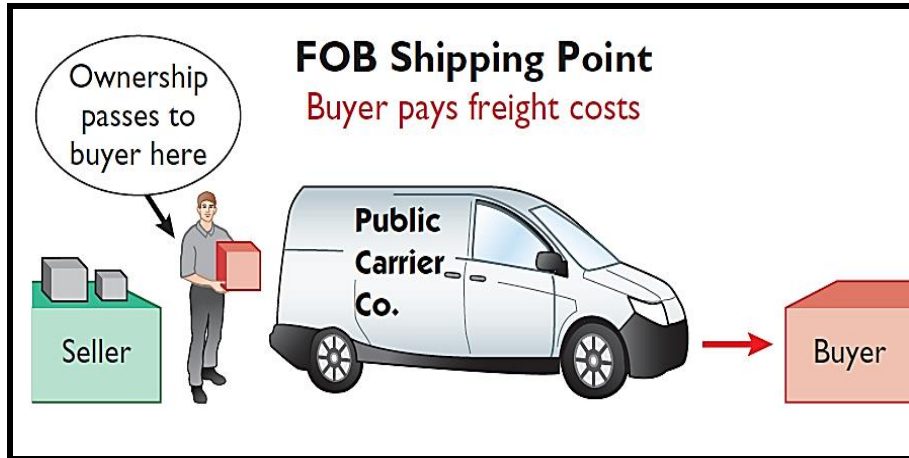
Inventory

3,800

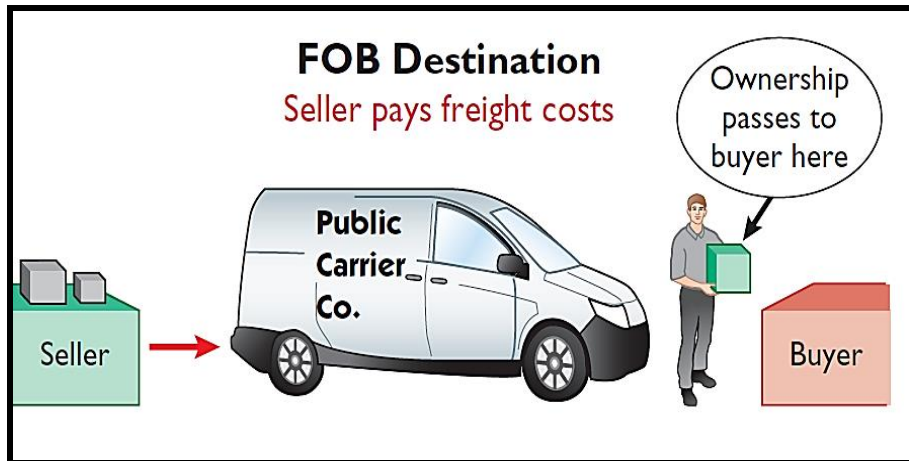
Accounts Payable

3,800

Freight Costs



Ownership of the goods passes to the buyer when the public carrier accepts the goods from the seller.



Ownership of the goods remains with the seller until the goods reach the buyer.

Illustration 5-7
Shipping Terms

Freight costs incurred by the seller are an
operating expense.

Illustration: Assume upon delivery of the goods on May 6, **Sauk Stereo** pays Public Freight Company €150 for **freight charges**, the entry on Sauk Stereo's books is:

May 6	Inventory	150	
	Cash		150

Assume the freight terms on the invoice in Illustration 5-6 had required **PW Audio Supply** to pay the **freight charges**, the entry by PW Audio Supply would have been:

May 4	Freight-Out (Delivery Expense)	150	
	Cash		150

Purchase Returns and Allowances

Purchaser may be **dissatisfied** because goods are damaged or defective, of inferior quality, or do not meet specifications.

Purchase Return

Return goods for credit if the sale was made on credit, or for a cash refund if the purchase was for cash.

Purchase Allowance

May choose to keep the merchandise if the seller will grant a reduction from the purchase price.

Illustration: Assume **Sauk Stereo** returned goods costing €300 to PW Audio Supply on May 8.

May 8	Accounts Payable	300	
	Inventory		300

Question #1

In a perpetual inventory system, a return of defective merchandise by a purchaser is recorded by crediting:

- a. Purchases
- b. Purchase Returns
- c. Purchase Allowance
- d. Inventory

Purchase Discounts

Credit terms may permit buyer to claim **a cash discount** for prompt payment.

Advantages:

- ◆ Purchaser saves money.
- ◆ Seller shortens the operating cycle by converting the accounts receivable into cash earlier.

Example: Credit terms may read **2/10, n/30**.

2/10, n/30

2% discount if paid within 10 days, otherwise net amount due within 30 days.

1/10 EOM

1% discount if paid within first 10 days of next month.

n/10 EOM

Net amount due within the first 10 days of the next month.

Illustration: Assume **Sauk Stereo** pays the balance due of €3,500 (gross invoice price of €3,800 less purchase returns and allowances of €300) on May 14, the last day of the discount period. Prepare the journal entry **Sauk Stereo** makes on May 14 to record the payment.

May 14	Accounts Payable	3,500	
	Inventory		70
	Cash		3,430

(Discount = €3,500 x 2% = **€70**)

Illustration: If **Sauk Stereo** failed to take the discount, and instead made full payment of €3,500 on June 3, the journal entry would be:

June 3	Accounts Payable	3,500	
	Cash		3,500

Should discounts be taken when offered?

Discount of 2% on €3,500	€70.00
€3,500 invested at 10% for 20 days	19.18
Savings by taking the discount	<u><u>€50.82</u></u>

Example: 2% for 20 days = Annual rate of 36.5%

$$€3,500 \times 36.5\% \times 20 \div 365 = €70$$

Summary of Purchasing Transactions

Inventory

	Debit	Credit	
4 th - Purchase	3,800	300	8 th - Return
6 th - Freight-in	150	70	14 th - Discount
Balance	3,580		



DO IT!

On September 5, **Zhu Company** buys merchandise on account from **Gao Company**. The selling price of the goods is ¥15,000, and the cost to Gao Company was ¥8,000. On September 8, **Zhu** returns defective goods with a selling price of ¥2,000. **Record** the transactions on the books of **Zhu Company**.

Sept. 5	Inventory	15,000	
	Accounts Payable		15,000
Sept. 8	Accounts Payable	2,000	
	Inventory		2,000

3.3. Recording Sales of Merchandise

◆ Made using **cash** or **credit** (on account).

Illustration 5-6

◆ Sales revenue, like service revenue, is recorded when the **performance obligation is satisfied**.

◆ Performance obligation is satisfied when the goods are transferred from the seller to the buyer.

◆ Sales invoice should support each credit sale.

INVOICE NO. 731


PW AUDIO SUPPLY, SE
27 CIRCLE DRIVE
AMSTERDAM, THE NETHERLANDS 1081

▼

S Firm Name Sauk Stereo
O Attention of James Hoover, Purchasing Agent
L Address 125 Main Street
D Oslo Norway 283
T
O

Date	Salesperson	Terms	FOB Shipping Point		
5/4/17	Malone	2/10, n/30			
Catalog No.	Description	Quantity	Price	Amount	
X572Y9820	Printed Circuit Board-prototype	1	2,300	€2,300	
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IMPORTANT: ALL RETURNS MUST BE MADE WITHIN 10 DAYS			TOTAL	€3,800	

Journal Entries to Record a Sale

#1

Cash **or** Accounts Receivable XXX
Sales Revenue

XXX

**Selling
Price**

#2

Cost of Goods Sold XXX
Inventory

XXX

Cost

Illustration: **PW Audio Supply** records the sale of €3,800 on May 4 to **Sauk Stereo** on account (Illustration 5-6) as follows (assume the merchandise cost **PW Audio Supply** €2,400).

May 4	Accounts Receivable	3,800	
	Sales Revenue		3,800
4	Cost of Goods Sold	2,400	
	Inventory		2,400

Sales Returns and Allowances

- ◆ “Flip side” of purchase returns and allowances.
- ◆ Contra-revenue account to Sales Revenue (debit).
- ◆ Sales not reduced (debited) because:
 - ▶ Would obscure importance of sales returns and allowances as a percentage of sales.
 - ▶ Could distort comparisons.

Illustration: Prepare the entry **PW Audio Supply** would make to record the credit for returned goods that had a €300 selling price (assume a €140 cost). Assume the **goods were not defective**.

May 8	Sales Returns and Allowances	300	
	Accounts Receivable		300
8	Inventory	140	
	Cost of Goods Sold		140

Illustration: Assume the returned goods were defective and had a scrap value of €50, **PW Audio** would make the following entries:

May 8	Sales Returns and Allowances	300	
	Accounts Receivable		300
8	Inventory	50	
	Cost of Goods Sold		50

Question #2

The cost of goods sold is determined and recorded each time a sale occurs in:

- a. periodic inventory system only.
- b. a perpetual inventory system only.
- c. both a periodic and perpetual inventory system.
- d. neither a periodic nor perpetual inventory system.

Sales Discount

- ◆ Offered to customers to **prompt payment** of the balance due.
- ◆ **Contra-revenue account** (debit) to Sales Revenue.

Sales Revenue	Sales Returns and Allowances	Sales Discounts
3,800	300	70
		
Net Sales €3,430		

Illustration: Assume **Sauk Stereo** pays the balance due of €3,500 (gross invoice price of €3,800 less purchase returns and allowances of €300) on May 14, the last day of the discount period. Prepare the journal entry **PW Audio Supply** makes to record the receipt on May 14.

May 14	Cash	3,430	
	Sales Discounts	70 *	
	Accounts Receivable		3,500

* $[(€3,800 - €300) \times 2\%]$



DO IT!

On September 5, **Zhu Company** buys merchandise on account from **Gao Company**. The selling price of the goods is ¥15,000, and the cost to **Gao Company** was ¥8,000. On September 8, **Zhu** returns defective goods with a selling price of ¥2,000 and the fair value of ¥300. Record the transactions on the books of **Gao Company**.

Sept. 5	Accounts Receivable	15,000	
	Sales Revenue		15,000
Sept. 5	Cost of Goods Sold	8,000	
	Inventory		8,000



DO IT!

On September 5, **Zhu Company** buys merchandise on account from **Gao Company**. The selling price of the goods is ¥15,000, and the cost to **Gao Company** was ¥8,000. On September 8, **Zhu** returns defective goods with a selling price of ¥2,000 and the fair value of ¥300. Record the transactions on the books of **Gao Company**.

Sept. 8	Sales Returns and Allowances	2,000	
	Accounts Receivable		2,000
Sept. 8	Inventory	300	
	Cost of Goods Sold		300

3.4. Completing the Accounting Cycle

- ◆ Up to this point, we have illustrated the **basic entries** for transactions relating to **purchases** and **sales** in a perpetual inventory system.
- ◆ Now we consider the **remaining steps** in the **accounting cycle** for a merchandising company.
- ◆ Each of the required steps described in **Chapter 2** for service companies apply to merchandising companies.

Adjusting Entries

- ◆ A merchandising company generally has the **same types of adjusting entries** as a service company.
- ◆ However, a merchandiser using a perpetual system will require **one additional adjustment** to make the records agree with the actual inventory on hand.
- ◆ At the end of each period, for **control purposes**, a merchandising company that uses a perpetual system will take a **physical count** of its goods on hand.
- ◆ The company's Unadjusted Balance in Inventory usually does not agree with the actual amount of Inventory on hand.

- ◆ The perpetual inventory records may be incorrect due to **recording errors**, **theft**, or **waste**.
- ◆ Thus, the company **needs to adjust** the perpetual records to make the recorded inventory amount **agree with the inventory on hand**.
- ◆ This involves adjusting **Inventory** and **Cost of Goods Sold**.

Illustration: Suppose that **PW Audio Supply** has an unadjusted balance of €40,500 in **Merchandise Inventory**. Through a **physical count**, **PW Audio** determines that its **actual merchandise inventory** at year-end is €40,000. The company would make an adjusting entry as follows.

Cost of Goods Sold	500	
Inventory		500

Closing Entries

Dec. 31	Sales Revenue	480,000	
	Income Summary		480,000
	(To close income statement accounts with credit balances)		
31	Income Summary	450,000	
	Cost of Goods Sold		316,000
	Salaries and Wages Expense		64,000
	Utilities Expense		17,000
	Advertising Expense		16,000
	Sales Returns and Allowances		12,000
	Sales Discounts		8,000
	Depreciation Expense		8,000
	Freight-Out		7,000
	Insurance Expense		2,000
	(To close income statement accounts with debit balances)		

Cont'd

Dec. 31	Income Summary	30,000	
	Retained Earnings		30,000
	(To close net income to retained earnings)		
31	Retained Earnings	15,000	
	Dividends		15,000
	(To close dividends to retained earnings)		

Summary of Merchandising Entries

Illustration 5-8 summarizes the entries for the merchandising accounts using a perpetual inventory system.

Illustration 5-8
Daily recurring and adjusting
and closing entries

Transactions		Daily Recurring Entries		Dr.	Cr.
Sales Transactions	Selling merchandise to customers.	Cash or Accounts Receivable		XX	
		Sales Revenue			XX
		Cost of Goods Sold		XX	
		Inventory			XX
	Granting sales returns or allowances to customers.	Sales Returns and Allowances		XX	
		Cash or Accounts Receivable			XX
		Inventory		XX	
		Cost of Goods Sold			XX
	Paying freight costs on sales; FOB destination.	Freight-Out		XX	
		Cash			XX
	Receiving payment from customers within discount period	Cash		XX	
		Sales Discounts		XX	
		Accounts Receivable			XX

Purchase Transactions

- Purchasing merchandise for resale.
- Paying freight costs on merchandise purchased; FOB shipping point.
- Receiving purchase returns or allowances from suppliers.
- Paying suppliers within discount period.

Inventory	XX	
Cash or Accounts Payable		XX
Inventory	XX	
Cash		XX
Cash or Accounts Payable	XX	
Inventory		XX
Accounts Payable	XX	
Inventory		XX
Cash		XX

Events

- Adjust because book amount is higher than the inventory amount determined to be on hand.
- Closing temporary accounts with credit balances.
- Closing temporary accounts with debit balances.

Adjusting and Closing Entries

Cost of Goods Sold	XX	
Inventory		XX
Sales Revenue	XX	
Income Summary		XX
Income Summary	XX	
Sales Returns and Allowances		XX
Sales Discounts		XX
Cost of Goods Sold		XX
Freight-Out		XX
Expenses		XX



DO IT!

The trial balance of Celine's Sports Wear Shop at December 31 shows Inventory €25,000, Sales Revenue €162,400, Sales Returns and Allowances €4,800, Sales Discounts €3,600, Cost of Goods Sold \$110,000, Rent Revenue €6,000, Freight-Out €1,800, Rent Expense €8,800, and Salaries and Wages Expense €22,000. Prepare the closing entries for the above accounts.

Dec. 31	Sales Revenue	162,400	
	Rent Revenue	6,000	
	Income Summary		168,400

The trial balance of Celine's Sports Wear Shop at December 31 shows Inventory €25,000, Sales Revenue €162,400, Sales Returns and Allowances €4,800, Sales Discounts €3,600, Cost of Goods Sold \$110,000, Rent Revenue €6,000, Freight-Out €1,800, Rent Expense €8,800, and Salaries and Wages Expense €22,000. Prepare the closing entries for the above accounts.

Dec. 31	Income Summary	151,000	
	Cost of Goods Sold		110,000
	Sales Returns and Allowances		4,800
	Sales Discounts		3,600
	Freight-Out		1,800
	Rent Expense		8,800
	Salaries and Wages Expense		22,000

3.5. Forms of Financial Statements

Income Statement

- ◆ Primary source of information for **evaluating a company's performance.**
- ◆ Format is designed to differentiate between the **various sources** of income and expense.

Income Statement

The income statement is a primary source of information for evaluating a company's performance.

PW AUDIO SUPPLY, SE			
Income Statement			
For the Year Ended December 31, 2017			
Sales			
Sales revenue			€480,000
Less: Sales returns and allowances	€12,000		
Sales discounts	8,000	20,000	
Net sales			460,000
Cost of goods sold			316,000
Gross profit			144,000
Operating expenses			
Salaries and wages expense	64,000		
Utilities expense	17,000		
Advertising expense	16,000		
Depreciation expense	8,000		
Freight-out	7,000		
Insurance expense	2,000		
Total operating expenses		114,000	
Income from operations			30,000
Other income and expense			
Interest revenue	3,000		
Gain on sale of equipment	600		
Casualty loss from vandalism	(200)	3,400	
Interest expense		1,800	
Net income			€ 31,600

Illustration 5-14

Income Statement

Key Items:

◆ Net Sales

PW AUDIO SUPPLY, SE			
Income Statement			
For the Year Ended December 31, 2017			
Sales			
Sales revenue			€480,000
Less: Sales returns and allowances	€12,000		
Sales discounts	8,000		20,000
			<u> </u>
Net sales			460,000
Cost of goods sold			<u>316,000</u>
Gross profit			144,000
Operating expenses			
Salaries and wages expense	64,000		
Utilities expense	17,000		
Advertising expense	16,000		
Depreciation expense	8,000		
Freight-out	7,000		
Insurance expense	2,000		
			<u> </u>
Total operating expenses			114,000
Income from operations			<u>30,000</u>
Other income and expense			
Interest revenue	3,000		
Gain on sale of equipment	600		
Casualty loss from vandalism	(200)		3,400
			<u> </u>
Interest expense			1,800
Net income			<u>€ 31,600</u>

Illustration 5-14

Income Statement

Key Items:

- ◆ Net Sales
- ◆ Gross Profit

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Income Statement			
For the Year Ended December 31, 2017			
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Sales revenue			€480,000
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Casualty loss from vandalism	(200)		
			<u> </u>
Interest expense			1,800
			<u> </u>
Net income			<u>€ 31,600</u>

Illustration 5-14

Income Statement

Key Items:

- ◆ Net Sales
- ◆ **Gross Profit**

PW AUDIO SUPPLY, SE Income Statement For the Year Ended December 31, 2017			
Sales			
Sales revenue			€480,000
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Net sales			460,000
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Gross profit			144,000
Operating expenses			
Salaries and wages expense	64,000		

Gross Profit	÷	Net Sales	=	Gross Profit Rate
€144,000	÷	€460,000	=	31.3%

Illustration 5-11

Gross Profit Rate Formula
& Computation

Total operating expenses		114,000
Income from operations		30,000
Other income and expense		
Interest revenue	3,000	
Gain on sale of equipment	600	
Casualty loss from vandalism	(200)	3,400
Interest expense		1,800
Net income		€ 31,600

Illustration 5-14

Income Statement

Key Items:

- ◆ Net Sales
- ◆ Gross Profit
- ◆ Operating Expenses

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Income Statement			
For the Year Ended December 31, 2017			
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Sales revenue			€480,000
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			<u>20,000</u>
Net sales			460,000
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Gross profit			144,000
Operating expenses			
Salaries and wages expense	64,000		
Utilities expense	17,000		
Advertising expense	16,000		
Depreciation expense	8,000		
Freight-out	7,000		
Insurance expense	2,000		
			<u>114,000</u>
Total operating expenses			114,000
Income from operations			<u>30,000</u>
Other income and expense			
Interest revenue	3,000		
Gain on sale of equipment	600		
Casualty loss from vandalism	(200)		3,400
			<u>3,400</u>
Interest expense			1,800
			<u>1,800</u>
Net income			<u>€ 31,600</u>

Illustration 5-14

Income Statement

Key Items:

- ◆ Net Sales
- ◆ Gross Profit
- ◆ Operating Expenses
- ◆ Other Income And Expense

PW AUDIO SUPPLY, SE			
Income Statement			
For the Year Ended December 31, 2017			
Sales			
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Casualty loss from vandalism	(200)		3,400
Interest expense			1,800
Net income			€ 31,600

Illustration 5-14

Income Statement

Key Items:

- ◆ Net Sales
- ◆ Gross Profit
- ◆ Operating Expenses
- ◆ Other Income And Expense

PW AUDIO SUPPLY, SE Income Statement For the Year Ended December 31, 2017			
Sales			
Sales revenue			€480,000
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Gross profit			144,000
Operating expenses			
Salaries and wages expense	64,000		
Utilities expense	17,000		
Advertising expense	16,000		
Depreciation expense	8,000		
Other Income			
Interest revenue from notes receivable and marketable securities.			
Dividend revenue from investments in ordinary shares.			
Rent revenue from subleasing a portion of the store.			
Gain from the sale of property, plant, and equipment.			
Other Expenses			
Casualty losses from causes such as vandalism and accidents.			
Loss from the sale or abandonment of property, plant, and equipment.			
Loss from strikes by employees and suppliers.			

Illustration 5-14

Income Statement

Key Items:

- ◆ Net Sales
- ◆ Gross Profit
- ◆ Operating Expenses
- ◆ Other Income And Expense
- ◆ Interest Expense

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Income Statement			
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Net sales			460,000
Cost of goods sold			316,000
Gross profit			144,000
Operating expenses			
Salaries and wages expense	64,000		
Utilities expense	17,000		
Advertising expense	16,000		
Depreciation expense	8,000		
Freight-out	7,000		
Insurance expense	2,000		
Total operating expenses			114,000
Income from operations			30,000
Other income and expense			
Interest revenue	3,000		
Gain on sale of equipment	600		
Casualty loss from vandalism	(200)		3,400
Interest expense			1,800
Net income			€ 31,600

Illustration 5-14

Income Statement

Key Items:

- ◆ Net Sales
- ◆ Gross Profit
- ◆ Operating Expenses
- ◆ Other Income And Expense
- ◆ Interest Expense
- ◆ **Net Income**

PW AUDIO SUPPLY, SE			
Income Statement			
For the Year Ended December 31, 2017			
Sales			
Sales revenue			€480,000
Less: Sales returns and allowances	€12,000		
Sales discounts	8,000		20,000
Net sales			460,000
Cost of goods sold			316,000
Gross profit			144,000
Operating expenses			
Salaries and wages expense	64,000		
Utilities expense	17,000		
Advertising expense	16,000		
Depreciation expense	8,000		
Freight-out	7,000		
Insurance expense	2,000		
Total operating expenses			114,000
Income from operations			30,000
Other income and expense			
Interest revenue	3,000		
Gain on sale of equipment	600		
Casualty loss from vandalism	(200)		3,400
Interest expense			1,800
Net income			€ 31,600

Illustration 5-14

Question #3

The Income Statement for a merchandiser shows each of the following features **except**:

- a. Gross Profit.
- b. Cost of Goods Sold.
- c. A Sales Section.
- d. Investing Activities Section.

Comprehensive Income

Examples includes certain adjustments to *pension plan assets*, *gains and losses on foreign currency translation*, and *unrealized gains and losses on certain types of investments*.

Reported in *a combined statement of net income & comprehensive income*, or in a separate schedule that reports only comprehensive income.

Illustration 5-15: Separate Statement of Net Income and Comprehensive Income

PW AUDIO SUPPLY, SE Comprehensive Income Statement For the Year Ended December 31, 2017	
Net income	€31,600
Other comprehensive income	
Unrealized holding gain on investment securities	<u>2,300</u>
Comprehensive income	<u><u>€33,900</u></u>

Inventory Presentation in the Classified SoFP

Illustration 5-16: Assets Section of a Classified Statement of Financial Position

PW AUDIO SUPPLY, SE			
Statement of Financial Position (Partial)			
December 31, 2017			
<u>Assets</u>			
Property, plant, and equipment			
Equipment	€80,000		
Less: Accumulated depreciation—equipment	<u>24,000</u>		€ 56,000
Current assets			
Prepaid insurance	1,800		
Inventory	40,000		
Accounts receivable	16,100		
Cash	<u>9,500</u>		<u>67,400</u>
Total assets			<u><u>€123,400</u></u>



DO IT!

You are presented with the following list of accounts from the adjusted trial balance for merchandiser **Gorman Company**. Indicate in which financial statement and under what classification each of the following would be reported.

<u>Account</u>	<u>Financial Statement</u>	<u>Classification</u>
Accounts payable	SFP	Current liabilities
Accounts receivable	SFP	Current assets
Accumulated Depreciation-Buildings	SFP	Property, plant, and equipment
Accumulated Depreciation-Equipment	SFP	Property, plant, and equipment
Advertising Expense	IS	Operating expenses
Buildings	SFP	Property, plant, and equipment
Cash	SFP	Current assets
Depreciation Expense	IS	Operating expenses
Dividends	RES	Deduction section



DO IT!

You are presented with the following list of accounts from the adjusted trial balance for merchandiser **Gorman Company**. Indicate in which financial statement and under what classification each of the following would be reported.

<u>Account</u>	<u>Financial Statement</u>	<u>Classification</u>
Equipment	SFP	Property, plant, and equipment
Freight-Out	IS	Operating expenses
Gain on Disposal of Plant Assets	IS	Other income and expense
Insurance Expense	IS	Operating expenses
Interest Expense	IS	Interest expense
Interest Payable	SFP	Current liabilities
Inventory	SFP	Current assets
Land	SFP	Property, plant, and equipment
Notes Payable (due in 3 years)	SFP	Non-current liabilities



DO IT!

You are presented with the following list of accounts from the adjusted trial balance for merchandiser **Gorman Company**. Indicate in which financial statement and under what classification each of the following would be reported.

<u>Account</u>	<u>Financial Statement</u>	<u>Classification</u>
Property Taxes Payable	SFP	Current liabilities
Salaries and Wages Expense	IS	Operating expenses
Salaries and Wages Payable	SFP	Current liabilities
Sales Returns and Allowances	IS	Sales
Sales Revenue	IS	Sales
Share Capital—Ordinary	SFP	Equity
Utilities Expense	IS	Operating expenses

3.6. Periodic Inventory System

Determining CoGS Under a Periodic System

- ◆ No running account of changes in inventory.
- ◆ Ending inventory determined by physical count.
- ◆ Cost of goods sold not determined until the end of the period.

Determining CoGS Under a Periodic System

Illustration 5B-2: CoGS for a Merchandiser Using a Periodic Inventory System

PW AUDIO SUPPLY, SE			
Cost of Goods Sold			
For the Year Ended December 31, 2017			
Cost of goods sold			
Inventory, January 1			€ 36,000
Purchases		€325,000	
Less: Purchase returns and allowances	€10,400		
Purchase discounts	<u>6,800</u>	<u>17,200</u>	
Net purchases		307,800	
Add: Freight-in		<u>12,200</u>	
Cost of goods purchased			<u>320,000</u>
Cost of goods available for sale			<u>356,000</u>
Less: Inventory, December 31			<u>40,000</u>
Cost of goods sold			<u><u>€316,000</u></u>

Recording Merchandise Transactions

- ◆ Record revenues when sales are made.
- ◆ Do not record cost of merchandise sold on the date of sale.
- ◆ Physical inventory count determines:
 - ▶ Cost of merchandise **on hand** and
 - ▶ Cost of merchandise **sold** during the period.
- ◆ Record purchases in Purchases account.
- ◆ Purchase returns and allowances, Purchase discounts, and Freight costs are recorded in separate accounts.

Recording Purchases of Merchandise

Illustration: On the basis of the sales invoice (Illustration 5-6) and receipt of the merchandise ordered from **PW Audio Supply**, **Sauk Stereo** records the €3,800 purchase as follows.

May 4	Purchases	3,800	
	Accounts Payable		3,800

Freight Costs

Illustration: If **Sauk pays** Public Freight Company €150 for freight charges on its purchase from **PW Audio Supply** on May 6, the entry on **Sauk's** books is:

May 6	Freight-In (Transportation-In)	150	
	Cash		150

Purchase Returns and Allowances

Illustration: Sauk Stereo returns €300 of goods to PW Audio Supply and prepares the following entry to recognize the return.

May 8	Accounts Payable	300	
	Purchase Returns and Allowances		300

Purchase Discounts

Illustration: On May 14 **Sauk Stereo** pays the balance due on account to **PW Audio Supply**, taking the 2% cash discount allowed by **PW Audio** for payment within 10 days. **Sauk Stereo** records the payment and discount as follows.

May 14	Accounts Payable	3,500	
	Purchase Discounts		70
	Cash		3,430

Recording Sales of Merchandise

Illustration: **PW Audio Supply**, records the sale of €3,800 of merchandise to **Sauk Stereo** on May 4 (sales invoice No. 731, Illustration 5-6) as follows.

May 4	Accounts Receivable	3,800	
	Sales Revenue		3,800

No entry is recorded for **Cost of Goods Sold at the time of the sale under a Periodic System.**

Sales Returns and Allowances

Illustration: To record the returned goods received from **Sauk Stereo** on May 8, **PW Audio Supply** records the €300 sales return as follows.

May 8	Sales Returns and Allowances	300	
	Accounts Receivable		300

Sales Discount

Illustration: On May 14, **PW Audio Supply** receives payment of €3,430 on account from **Sauk Stereo**. **PW Audio** honors the 2% cash discount and records the payment of **Sauk's** account receivable in full as follows.

May 14	Cash	3,430	
	Sales Discounts	70	
	Accounts Receivable		3,500

Comparison of Entries

Illustration 5B-3: Comparison of Entries for **Perpetual Vs Periodic** Inventory Systems

ENTRIES ON SAUK STEREO'S BOOKS					
Transaction		Perpetual Inventory System		Periodic Inventory System	
May 4	Purchase of merchandise on credit.	Inventory	3,800	Purchases	3,800
		Accounts Payable	3,800	Accounts Payable	3,800
6	Freight costs on purchases.	Inventory	150	Freight-In	150
		Cash	150	Cash	150
8	Purchase returns and allowances.	Accounts Payable	300	Accounts Payable	300
		Inventory	300	Purchase Returns and Allowances	300
14	Payment on account with a discount.	Accounts Payable	3,500	Accounts Payable	3,500
		Cash	3,430	Cash	3,430
		Inventory	70	Purchase Discounts	70

Comparison of Entries

Illustration 5B-3: Comparison of Entries for **Perpetual Vs Periodic** Inventory Systems

ENTRIES ON PW AUDIO SUPPLY'S BOOKS						
Transaction		Perpetual Inventory System			Periodic Inventory System	
May 4	Sale of merchandise on credit.	Accounts Receivable	3,800		Accounts Receivable	3,800
		Sales Revenue		3,800	Sales Revenue	3,800
		Cost of Goods Sold	2,400		No entry for cost of goods sold	
		Inventory		2,400		
8	Return of merchandise sold.	Sales Returns and Allowances	300		Sales Returns and Allowances	300
		Accounts Receivable		300	Accounts Receivable	300
		Inventory	140		No entry	
		Cost of Goods Sold		140		
14	Cash received on account with a discount.	Cash	3,430		Cash	3,430
		Sales Discounts	70		Sales Discounts	70
		Accounts Receivable		3,500	Accounts Receivable	3,500

3.7. Worksheet for Merchandising Co.

Using a Worksheet

- ◆ As indicated in **Chapter 2**, a worksheet enables companies to prepare **FS's** before they **journalize** and **post** adjusting entries.
- ◆ The steps in preparing a worksheet for a merchandising company are the **same as** for a service company.
- ◆ Illustration 5A-1 shows the worksheet for **PW Audio Supply** (excluding non-operating items).
- ◆ The unique accounts for a merchandiser using a perpetual inventory system are in **boldface letters & red**.

Illustration 5A-1
Worksheet for
Merchandising Company

	A	B	C	D	E	F	G	H	I	J	K
1		PW AUDIO SUPPLY, SE Worksheet For the Year Ended December 31, 2017									
2											
3											
4											
5		Trial Balance		Adjustments		Adjusted Trial Balance		Income Statement		Statement of Financial Position	
6											
7	Accounts	Dr.	Cr.	Dr.	Cr.	Dr.	Cr.	Dr.	Cr.	Dr.	Cr.
8	Cash	9,500				9,500				9,500	
9	Accounts Receivable	16,100				16,100				16,100	
10	INVENTORY	40,500			(a) 500	40,000				40,000	
11	Prepaid Insurance	3,800			(b) 2,000	1,800				1,800	
12	Equipment	80,000				80,000				80,000	
13	Accumulated Depreciation—Equipment		16,000		(c) 8,000		24,000				24,000
14	Accounts Payable		20,400				20,400				20,400
15	Share Capital—Ordinary		50,000				50,000				50,000
16	Retained Earnings		33,000				33,000				33,000
17	Dividends	15,000				15,000				15,000	
18	SALES REVENUE		480,000				480,000		480,000		
19	SALES RETURNS AND ALLOWANCES	12,000				12,000		12,000			
20	SALES DISCOUNTS	8,000				8,000		8,000			
21	COST OF GOODS SOLD	315,500		(a) 500		316,000		316,000			
22	Freight-Out	7,000				7,000		7,000			
23	Advertising Expense	16,000				16,000		16,000			
24	Salaries and Wages Expense	59,000		(d) 5,000		64,000		64,000			
25	Utilities Expense	17,000				17,000		17,000			
26	Totals	599,400	599,400								
27	Insurance Expense			(b) 2,000		2,000		2,000			
28	Depreciation Expense			(c) 8,000		8,000		8,000			
29	Salaries and Wages Payable				(d) 5,000		5,000				5,000
30	Totals			15,500	15,500	612,400	612,400	450,000	480,000	162,400	132,400
31	Net Income							30,000			30,000
32	Totals							480,000	480,000	162,400	162,400

The End of Chapter 3

Thank You!!!